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Evaluating the impact of income fluctuations on poverty: theory and an application to Argentina

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Income Fluctuations, Poverty and Well-Being Over Time: Theory and Application to Argentina

by

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PERCEPTIONS OF INEQUALITY AND RISK

Frank A. Cowell and Guillermo Cruces

ABSTRACT

This paper analyses the principles underlying the theories of risk and inequality, and the connections between the two. Using two experimental designs, we investigate the structure of individuals' rankings of uncertain prospects in terms of risk and inequality. We examine these individual perceptions in the light of the conventional principles underlying risk and inequality. We show that, although the principle of mean-preserving spreads and the principle of transfers are often rejected a weaker principle, "lowest-to-highest" is usually supported.

Keywords: Inequality; Risk; Experiment; Transfer principle; Mean-preserving spread

JEL classification: C13; D63

1. INTRODUCTION

This paper brings together economic theory and experimental methods to study some of the key questions at the heart of inequality analysis and its intellectual cousin, the analysis of risk. Conventional approaches to these two concepts often focus on the strength of inequality or risk aversion from the point of view of theoretical interconnections (Cowell & Gardiner, 2000), experimental investigations

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Poverty Measurement Under Risk Aversion Using Panel Data

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THE WILLIAM DAVIDSON INSTITUTE
AT THE UNIVERSITY OF MICHIGAN BUSINESS SCHOOL

Generalizing the Causal Effect of Fertility on Female Labor Supply

By: Guillermo Cruces and Sebastian Galiani

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ECONOMICS BULLETIN

Transient and chronic poverty in turbulent times: Argentina 1995-2002

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The World Bank

Abstract

Using panel data, poverty in Argentina is decomposed into transient and chronic components. Overall poverty has increased in large part due to higher chronic poverty. While many household characteristics have similar impacts on both chronic and transient poverty, there are differences. Households with self-employed workers and business owners have higher levels of transient but not chronic poverty. The reverse is observed for households with public sector workers.

The views expressed here are those of the authors and need not reflect those of the World Bank, its Executive Directors, or the countries they represent. This note was prepared as a background paper for the Argentina Poverty Update at the World Bank with the support of Norman Hicks.

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ARGENTINA'S CRISES AND THE POOR, 1995-2002 [1]

GUILLERMO CRUCES[2] AND QUENTIN WODON[3]

I. Introduction

In the first half of 2002, Argentina was hit by a crisis that can be traced back to a combination of a lack of fiscal discipline and the adoption of an exchange rate parity with the US dollar in the nineties, among other factors. After a lost decade in the eighties that ended in hyperinflation, Argentina pegged its currency to the US dollar in 1991 (the Convertibility Plan). A period of relative stability ensued between 1991 and 1994, but the Convertibility's currency board made the economy vulnerable to external shocks. A first shock took place in 1995, following the devaluation of Mexico's currency. After a brief recovery, the country was hit again by Brazil's devaluation in January 1999. The lack of competitiveness of Argentina's economy combined with large increases in public spending in the nineties,[4] and the resulting difficulty to service the country's external debt led to the decision in early 2002 to putting an end to the parity between the Argentine peso and the US dollar. This almost unavoidable measure led the country's economy to collapse. The peso lost nearly 70 per cent of its value against the US dollar from January to August 2002, social unrest and political instability ensued, and the subsequent fall in confidence and productive activity resulted in a fall in the Gross Domestic Product of 10.9 per cent during 2002. Inflation soared, real wages fell, and poverty rates exploded. Our aim is to analyze the evolution of poverty during the turbulent period 1995-2002, with an emphasis on the last year.

The Instituto Nacional de Estadísticas y Censos (INDEC) reported that in May 2002, 53% of the population lived in poverty, a rate 15 percentage points higher

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[4] This also happened in other Latin American countries; see CEPAL, 2001.

Risk-Adjusted Poverty in Argentina: Measurement and Determinants

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Perceptions of Risk: an Experimental Approach using Internet Questionnaires

by

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London School of Economics and Political Science

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